

Water billing — how it works, and a correction

Prepared for the 2026 annual general meeting. All figures exclude VAT.

1. How water is billed today

There are two separate calculations, and the whole issue lies in the gap between them.

	What happens
The council bills the complex	One account, one meter at the gate. The council treats El Corazon as seven dwellings and applies its household sliding scale seven times over — seven free allowances, seven of each price step — to the total that came through that meter.
The scheme bills each owner	Seven internal meters are read at month end. Each unit is then priced as though it were its own council customer , on the full scale starting from zero. Below 6 kL a flat minimum of R 33.57 applies. On top of that every owner pays a share of a 20 kL common-property water provision through the levy.

The council's scale, from 1 August 2026

Per dwelling, per month	Rate
First 6 kL	free
Next 4 kL (6 – 10)	R 33.57
Next 5 kL (10 – 15)	R 35.04
Next 5 kL (15 – 20)	R 49.13
20 – 30 kL	R 67.91
Above 30 kL	R 74.28 and up

A live example — the July 2026 readings

Every figure below is a real meter reading, priced on the tariff in force now.

Unit	kL used	How it is charged today	Charged
Unit 1	15.85	$4.00 \times R33.57 + 5.00 \times R35.04 + 0.85 \times R49.13$	R 351.24
Unit 2	3.77	minimum charge	R 33.57
Unit 3	17.52	$4.00 \times R33.57 + 5.00 \times R35.04 + 2.52 \times R49.13$	R 433.29
Unit 4	2.34	minimum charge	R 33.57
Unit 5	11.55	$4.00 \times R33.57 + 1.55 \times R35.04$	R 188.59
Unit 6	13.64	$4.00 \times R33.57 + 3.64 \times R35.04$	R 261.83
Unit 7	4.00	minimum charge	R 33.57
Total	68.67		R 1,335.66

Units 2, 4 and 7 are charged the R 33.57 minimum. Unit 3 reaches R 49.13 a kilolitre on its top slice.

2. What that produces

Take the same month and put the two calculations side by side.

July 2026	Amount
The council charged the complex, for 78 kL	R 1,092.92
The seven owners were charged, for 68.67 kL on their own meters	R 1,335.66
Plus the common-property water provision in the levy	R 555.13
Total collected from owners	R 1,890.79
Collected over and above what the council asked	R 797.87

For that one month the scheme collected **R 797.87 more than the council charged — 73% more.** Over the last full financial year the same pattern produced **R 9,995.01**, or **R 118.99 per unit per month.**

Why the gap arises

1	Owners are charged at price steps the complex never reaches. Because each unit starts the scale again from zero, a larger household climbs into the R 49.13 and R 67.91 steps. The council, pricing the total across seven dwellings, never billed El Corazon above R 35.04 all year.	Falls on the heaviest users
2	The free allowance is thrown away. The council grants 504 kL free a year and applies it to the complex as a whole. Owners only used 404 kL of it, and the council let the remaining 99 kL soak up the heavier households' consumption. Giving each unit its own separate 6 kL loses that.	Falls on everyone
3	The common-property provision is set far above actual use. It assumes 20 kL a month. Measured use — everything the council billed that no unit meter recorded — is 6.9 kL.	Falls on everyone

None of this is a mistake anyone made. It is what happens when a scale designed for a single household is applied seven times inside a complex the council prices as one. The money has not gone anywhere — it has been funding the body corporate's general budget. But it is a charge on water that no owner has been told about, and it falls hardest on the largest households.

3. The proposed correction

Bill owners the way the council bills the complex. Three changes, and the monthly cycle gets simpler rather than harder.

	The change	Why
1	Stop the scale at the step the complex itself reaches.	No owner is charged a rate the scheme does not pay.
2	Scale the whole card by one factor, set once a year at this meeting.	Hands back the pooled free allowance and recovers exactly what the council charges.
3	Drop the 20 kL common-property provision.	The council's charge for common-property water is already inside what the card recovers.

What owners would see on the statement

Consumption in the month	Council rate	× 0.9543	Charge
First 6 kL	free		free
Next 4 kL (6 – 10 kL)	R 33.57	0.9543	R 32.04 per kL
Above 10 kL	R 35.04	0.9543	R 33.44 per kL

Three numbers, fixed for the year. The trustee needs nothing but the meter readings to issue a statement on the 1st — which matters, because the council's invoice for a month has not arrived by then, its reading periods run 24 to 36 days and never line up with a calendar month, and for December–January no invoice was issued at all.

The same July readings, corrected

Unit	kL used	How it would be charged	Today	Corrected	Change
Unit 1	15.85	4.00 × R32.04 + 5.85 × R33.44	R 351.24	R 323.76	-R 27.48
Unit 2	3.77	nothing to pay	R 33.57	R 0.00	-R 33.57
Unit 3	17.52	4.00 × R32.04 + 7.52 × R33.44	R 433.29	R 379.60	-R 53.69
Unit 4	2.34	nothing to pay	R 33.57	R 0.00	-R 33.57
Unit 5	11.55	4.00 × R32.04 + 1.55 × R33.44	R 188.59	R 179.97	-R 8.62
Unit 6	13.64	4.00 × R32.04 + 3.64 × R33.44	R 261.83	R 249.86	-R 11.97
Unit 7	4.00	nothing to pay	R 33.57	R 0.00	-R 33.57
Total	68.67		R 1,335.66	R 1,133.20	-R 202.46

Units 2, 4 and 7 pay nothing for water they used, because the council genuinely charged nothing for it — it fell inside the free allowance. They continue to pay R 882.22 a month in fixed water charges, so a nil line does not mean free water.

The one number the meeting sets

Everything else on the card comes from the council's published tariff. The factor is worked out once a year from records the scheme already keeps.

Numerator	The year's council water consumption charges, excluding VAT — the twelve invoices and nothing else. Not sewerage, not the water demand levy.	R 14,165.50
Denominator	The same twelve months of unit meter readings, priced on the council's own step rates and stopped at the highest step any invoice reached.	R 14,844.40
Factor	One divided by the other.	0.9543

Why it is not 1.00

	Effect on the year
The pooled free allowance the units never claim — 99 kL of the 504 kL granted.	–R 3,166
Common-property water and losses the council charges for and no unit meter records — 83 kL.	+R 2,547
Council reading periods straddling calendar months, and the August tariff change.	–R 59
Net	–R 679

The factor is the small residue of two effects five times its size, so it is a genuine annual measurement rather than a standing discount. A leak taking common-property water from 83 to 120 kL a year would push it above 1.20 — and it should.

How it would run through the year

When	What happens
At this meeting	The factor is set. Three numbers go into the minutes.
1st of every month	Statements go out for the month just ended, priced off the card and the meter readings alone. A late or missing council invoice cannot delay a statement.
At the year end	The twelve invoices are compared with the twelve months billed, and the difference sets the following year's factor. Any over- or under-recovery corrects itself.

Setting the card a year in advance is not free, but it is close to it: on next year's projected consumption the card recovers R 15,935.19 against a projected council charge of R 16,002.26 — a difference of R 67.07, or 0.80 of a rand per unit per month, corrected in the following year's factor.

4. What the correction would do

Metered water only. Fixed charges — sewerage and the water demand levy, R 882.22 per unit per month — are identical either way and are left out.

The year just ended — FY 2025/2026

What each owner actually paid, against what the correction would have charged.

Unit	kL/year	As billed	Corrected	Change	
Unit 1	183.0	R 3,517.84	R 3,240.70	-R 277.14	-8%
Unit 2	23.6	R 524.29	R 23.63	-R 500.66	-95%
Unit 3	226.2	R 5,541.74	R 4,522.46	-R 1,019.28	-18%
Unit 4	84.0	R 1,258.82	R 587.59	-R 671.23	-53%
Unit 5	128.5	R 1,702.03	R 1,624.18	-R 77.85	-5%
Unit 6	212.5	R 5,099.47	R 4,119.09	-R 980.38	-19%
Unit 7	31.9	R 594.69	R 47.84	-R 546.85	-92%
Total	889.7	R 18,238.88	R 14,165.50	-R 4,073.38	-22%

The correction recovers R 14,165.50 — precisely what the council charged. The common-property provision, a further R 5,921.63 that year, falls away on top of this.

The year ahead — FY 2026/2027

On the same consumption, priced on the new tariff. This is the year the meeting is being asked to decide about.

Unit	kL/year	As things stand	Corrected	Change	
Unit 1	183.0	R 3,957.39	R 3,645.56	-R 311.83	-8%
Unit 2	23.6	R 397.13	R 26.59	-R 370.54	-93%
Unit 3	226.2	R 6,234.32	R 5,087.39	-R 1,146.93	-18%
Unit 4	84.0	R 860.54	R 661.02	-R 199.52	-23%
Unit 5	128.5	R 1,914.75	R 1,827.17	-R 87.58	-5%
Unit 6	212.5	R 5,736.84	R 4,633.64	-R 1,103.20	-19%
Unit 7	31.9	R 392.10	R 53.82	-R 338.28	-86%
Total	889.7	R 19,493.07	R 15,935.19	-R 3,557.88	-18%

Consumption is assumed to repeat last year month for month, per unit — the only honest basis from a single year of readings.

What it means for each owner

The correction hands back R 10,152.38 a year. If the body corporate's income is to stay unchanged, that comes back through the levy — **R 121.66 per unit per month, equally**. On that basis nothing leaves the scheme and the change is purely a redistribution between owners:

Unit	kL/year	Water cost today	Corrected	Net change	Per month
Unit 1	183.0	R 4,909.04	R 5,105.49	+R 196.44	+R 16.37
Unit 2	23.6	R 1,348.78	R 1,486.51	+R 137.73	+R 11.48
Unit 3	226.2	R 7,185.97	R 6,547.31	-R 638.66	-R 53.22
Unit 4	84.0	R 1,812.19	R 2,120.94	+R 308.75	+R 25.73
Unit 5	128.5	R 2,866.40	R 3,287.09	+R 420.68	+R 35.06
Unit 6	212.5	R 6,688.49	R 6,093.57	-R 594.93	-R 49.58
Unit 7	31.9	R 1,343.75	R 1,513.74	+R 169.99	+R 14.17
Total	889.7	R 26,154.64	R 26,154.64	nil	nil

Water consumption plus the common-property provision, per owner per year, for FY 2026/2027. A plus sign means that owner pays more than they would today.

Held level, the correction costs the five lighter households R 11 to R 35 a month and returns R 50 to R 53 a month to Units 3 and 6. That is the correction doing what it is for: those two were the ones being charged at price steps the complex never reached. The meeting is free to hand back less than the full amount, in which case every figure above moves towards zero.

One invoice was never issued. The council billed nothing for 18 December to 19 January — 77 kL flowed through the meter and was never charged for. These figures assume the council eventually bills it and impute R 940.34. If the meeting prefers to treat it as never payable, the factor falls to **0.8909** and the card to R 29.91 and R 31.22 — about 7% cheaper for every owner, at the risk of a R 940 shortfall if the council does catch up.

What the meeting has to decide

Decision	
1	Adopt the corrected method, or keep the present one. On its own this changes nothing about how much the scheme collects in total — only how it is split and how it is described.
2	Discontinue the 20 kL common-property water provision, which the correction makes redundant. This takes R 7,660.80 a year including VAT out of levy income.
3	Decide how much to replace through the levy — anything from nil to R 121.66 per unit per month. This is a budget decision and can be taken on its own merits.
4	Set the factor for FY 2026/2027 — 0.9543 on the figures in this pack — and instruct that it be reviewed at each AGM against the year's council invoices.
5	Decide how the un-issued December–January invoice is treated: imputed as payable, or written off. It moves the factor between 0.9543 and 0.8909.

Basis of preparation

FY 2025/2026 figures are actuals: twelve City of Johannesburg water invoices read from the scanned originals, and the metered water as each statement actually priced it. No council invoice was issued for 18 December to 19 January; the charge is imputed at R 940.34, being what the council's own step calculation would have produced. FY 2026/2027 assumes consumption repeats FY 2025/2026 month for month, per unit, priced on the tariff effective 1 August 2026. The council's reading dates run 24 to 36 days and do not align to calendar months, so the two records are compared over the year as a whole rather than month by month; the offset is constant and does not accumulate. All figures exclude VAT. Unit 2's December 2025 reading is negative and has been treated as nil pending correction.